ratio of 15:1.

The silver rupee operated on the classical metallic standard. It contained 165 grains of pure silver. Conversion of bullion into silver rupees and vice versa was freely permitted. A mint charge was levied whenever anyone wanted to get silver bullion minted into rupees to cover the cost of minting. It was also no crime if rupees were melted and converted into bullion.

The quantum of rupees in circulation was determined by the demand for coins needed for smooth conduct of trade and other financial transactions.

Limitations of Silver Rupee Gave Birth to Paper Notes in 1861

The limitations of the silver rupee soon became apparent, including inconvenience in use for large value transactions and payments to be made over distances. India is a vast country. It was also primarily an agricultural economy. Peasants preferred to sell their crops upon receipt of silver coins. The weight and volume of the silver rupee posed problems in transportation. Thus, respectable merchants started taking silver coins and issuing paper promissory notes convertible in equal value of silver rupee. Traders who trusted the merchant or banker would exchange silver rupees with such promissory notes on paper.

The government realized the need for paper currency notes convertible in silver or silver coins on demand. In 1861, it decided to issue paper rupees, fully convertible in silver rupee, which continued to be the primary currency. The first paper rupee was issued in 1862.

Issuance of paper currency was backed by the Paper Currency Reserve consisting of silver and gold coins. The 1861 Indian Paper Currency Act provided for only a small part of paper currency reserves to be held in the form of securities issued by the Government of India—only Rs 2 crore.

Rupee notes equal in value to silver rupees came into circulation and their prevalence increased. The government kept its promise of converting rupee notes into silver rupee coins.